

2026-05-07

QSI · FY2026 Q1

Quantum-Si Incorporated · 43 turns · 5 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Risa Lindsay

Investor Relations

Jeff Kyes

Chief Financial Officer

Charlotte Maurer

Analyst, CanCore Genuity

Jeff Hawkins

President and Chief Executive Officer

OPERATOR Operator

Good day and thank you for standing by. Welcome to the Quantum SI first quarter 2026 earnings call and business update. At this time, all participants are in a listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during the session, you will need to press star 1-1 on your telephone. You will then hear an automated message advising you your hand is raised. To withdraw your question, please press star 1-1 again. Please be advised that today's conference is being recorded. I would now like to hand the conference over to your first speaker today, Risa Lindsay. Risa, go ahead.

RISA LINDSAY Investor Relations

Good afternoon, everyone, and thank you for joining us. Earlier today, Quantum SI released financial results for the first quarter ended March 31, 2026. A copy of the press release is available on the company's website. Joining me today are Jeff Hoffman, our President and Chief Executive Officer, as well as Jeff Kyes, our Chief Financial Officer. Before we begin, I would like to remind you that management will be making certain forward-looking statements within the meaning of the federal securities laws. These statements involve material risks and uncertainties that could cause actual results or events to materially differ from those anticipated. Additional information regarding these risks and uncertainties appears in the section entitled Oral Results and Statements of our Press Release. For a more complete list and description of risk factors, please see the company's filings made with the Securities and Exchange Commission. This conference call contains time-sensitive information that is accurate only as of the live broadcast date today, May 7, 2026. Except as required by law, the company disciplines any intention or obligation to update or revise any forward-looking statements. During this call, we will also be referring to certain financial measures that are not prepared in accordance with U.S. generally accepted accounting principles or GAAP. A reconciliation of these non-GAAP financial measures to the most correctly comparable GAAP financial measures is included in the press release filed earlier today. With that, let me turn the call over to Jeff Hawkins.

JEFF HAWKINS President and Chief Executive Officer

Good afternoon and thank you for joining us. On today's call, we will provide a business update and review our operating results for the first quarter of 2026. After that, we will open the call for questions. As we communicated on our last earnings call, we expect that 2026 will be a transition year with revenue primarily driven by consumable utilization from our installed base and some new placements of platinum, very modest new capital sales, and a laser focus on Proteus development and preparing the market for a strong commercial launch by the end of 2026. As such, our three corporate priorities for 2026 are as follows. To deliver Proteus with the capabilities customers need, to prepare the market for Proteus launch, and to preserve our financial strength. Our first priority is to deliver Proteus with the

capabilities customers need. We made significant progress with the Proteus Development Program during the first quarter of 2026. The results of this progress were highlighted in our recent announcement regarding the successful completion of sequencing on fully integrated Proteus instruments. The achievement of a milestone of this complexity is a significant de-risking event for any new platform development program. To accomplish this result, We had instruments and software that automatically performed all the steps in the sequencing process from reagent preparation to sample loading through to sequencing and data capture and analysis. We also had developmental sequencing reagents, kinetic arrays, and associated surface chemistry that enabled single molecule loading and sequencing with the detection of 17 amino acids. While there is more work to do to get to the commercial launch, it is clear that the Proteus platform is a fundamentally superior technology compared to Platinum. Beyond automation and throughput, which customers will certainly value, the core technology in Proteus consistently delivers higher proteome coverage. At its core, Proteus has better signal-to-noise ratio and can reliably detect much shorter pulses of recognizers, which translates into detecting more amino acids per peptide and longer average peptide read lengths. In terms of recognizer development, we recently reported that our internal developmental sequencing kit was able to detect 17 amino acids. Not only have we increased the number of unique amino acids detected from 15 in December of 2025, to 17 in just four months, but we have also made improvements that increased detection frequency across all the amino acids we detect. Our recent progress in this area and the pace of improvement we are seeing provides us with high confidence that we are well on our way to delivering Proteus by the end of 2026 with the detection of 18 amino acids, demonstrating detection of all 20 amino acids during 2026, and in turn, delivering a sequencing kit in 2027 that detects all 20 amino acids. Finally, I want to provide an update on our progress towards enabling post-translational modification capabilities on Proteus. For background, depending on the PTM, customers today have two choices, affinity-based methods, which are limited to a specific site or specific protein of interest, or mass spectrometry, which requires complex sample preparation procedures and access to sophisticated bioinformatics personnel to collect, filter, and analyze the data using a variety of software tools that are required to provide site resolved profiles. This is true for a well-studied PTM like phosphorylation. But when you move into other PTMs like methylation, acetylation, or citrullination, the options are even more limited with the available analysis tools often being lab developed versus commercially available. During our November 2025 Investor and Analyst Day, we provided insight into three different ways that our technology can detect PTMs. One of those ways is via kinetic signatures. In short, using the rich set of data that each recognizer generates as the sequencing reaction moves through each amino acid in the peptide, the software can automatically determine if the PTM is present or not, which PTM it is, and at which specific amino acid site. The primary advantage to this method is that the sequencing chemistry is universal, and the PTM detection is accomplished using automated analysis algorithms. This is in stark contrast to affinity-based methods, which require site-specific PTM reagents, and in some cases, those reagents are protein-specific as well. Given the extremely large amount of data we expect to generate in a Proteus sequencing run and leveraging the power of advanced AI tools, the potential to develop PTM capabilities using kinetic signatures and continuously expand those capabilities over time is immense. This is why we are laser focused on this approach, and I am pleased to report that we are making great progress in this area and expect to have more specific updates to share in the near future. Our second corporate priority is to prepare the market for Proteus launch. In preparation for commercial launch of Proteus, we are focusing our commercial and scientific affairs teams on three main strategic initiatives. First, demonstrating the value of our single molecule protein sequencing technology. Second, expanding awareness of Proteus across geographies and in market segments. And finally, identifying and developing a funnel of potential Proteus customers to ensure successful commercial adoption upon launch. To demonstrate the value of single molecule protein sequencing, our scientific affairs team has been working with customers using our first generation platinum instrument and commercially available kits to generate data and release the results via posters at industry conferences, manuscripts via preprint and peer-reviewed publications. Since the start of 2026, we have had a total of three customer manuscripts released via preprint or peer review, five posters presented at industry conferences,

and a customer podium presentation during U.S. HUPO. The data released this year shows a wide range of applications, from rapid pathogen and toxin detection to clinical proteomics, to detection of post-translational modifications in translational research. Importantly, the data released this year also spans multiple end market segments, including academic research, clinical, biopharma, and government. We believe that these sets of customer data and other studies in the pipeline will continue to demonstrate that the potential opportunity for our technology extends well beyond the basic research markets that we operate in today. This is important since customers in biopharma, translational research, and clinical testing typically have higher consumable utilization rates and repeat order patterns compared to basic research customers. Turning now to our work on expanding awareness of Proteus across geographies and in markets. In April, we announced the beginning of the Proteus Roadshow Series. These events are designed to educate the market on the value of our proprietary single molecule protein sequencing technology and the Proteus instrument and projected capabilities. The individual roadshow event can take the shape of one of two types of formats. First, in institutions where we have an existing customer, we work with them to bring together as many of their colleagues as possible to expand the institutional awareness of our technology. Expanding institutional awareness can benefit our existing user by creating more demand for inclusion of our technology in ongoing research studies, and it also aids us in building a large community of interested users for Proteus, increasing the number of potential avenues to pursue for funding the purchase of the instrument in the future. The second type of event is tailored to locations where we do not have an existing customer. In these locations, we focus on a centrally located venue, and our outreach focuses on engaging potential users from as many unique institutions in the surrounding area as possible. While we have just started the Roadshow series, the early data is encouraging. At one recent event, we had 25 people register or attend, but on the day of the event, we had 35 people in attendance. All the attendees were researchers who currently use or want to begin to incorporate proteomic technologies into their research. Importantly, these 35 attendees invested nearly two hours of their time to learn about our technology, the Proteus system, and to discuss potential applications with members of our commercial and scientific affairs team. We expect to continue with roadshows throughout the year and will provide more updates on specific cities and associated event metrics as the program progresses. Finally, in addition to supporting our existing Platinum users, our sales team is focused on identifying and developing a funnel of potential Proteus customers to ensure successful commercial adoption upon launch. Our team has been assigned quantitative goals for each quarter and we are pleased with the current progress we are seeing. As part of this process, we recently announced that we had successfully completed sequencing of our first customer samples on the Proteus prototype. In this first instance, the customer is an existing Platinum user and they were interested in seeing how much better the data would be with Proteus. While there were many exciting takeaways from the data, the two that resonated the strongest with the customer was the increase in the number of amino acids detected and the increase in the average read length on Proteus compared to Platinum. When combined, improvements in these two attributes provide the customer with significantly more sequence-level information about each of their proteins of interest. The positive response from this customer confirms our belief that offering the ability for customers to send in samples for evaluation could be a very useful tool to deepen engagement and advance the customer through the buying process prior to Proteus commercial launch. We are working closely with our manufacturing partners to increase the number of Proteus instruments available within our R&D labs. And once complete, we expect to be able to offer sample evaluations more broadly to prospective customers. Our third priority is to preserve our financial strength. We believe that the data we will generate over the coming months will continue to demonstrate that Proteus is not only a new architecture with greater throughput and automation, but also a significant leap forward in terms of sequencing performance and application breadth. We continue to believe that Proteus will be the long term driver of commercial adoption, revenue growth, and our path to profitability. We remain committed to continuing to operate with a high level of fiscal discipline while ensuring the core strategic initiatives are appropriately funded to deliver Proteus on time and with the capabilities customers are asking for. I will now turn the call over to Jeff to review our financial results.

Thanks, Jeff. I'll now walk through our operating results for the first quarter of 2026. Revenue in the first quarter of 2026 was \$258,000, consisting of revenue from our platinum line of instruments, consumable kits, and related services. Gross profit was 74,000, resulting in a gross margin of 29%. Gross margin in the quarter was primarily driven by revenue mix with a higher proportion of consumables relative to hardware. As we have discussed and guided for 2026, we expect revenue in the near term to reflect the anticipated launch of Proteus, as some customers time purchasing decisions closer to the availability of our new platform. Turning to expenses, GAAP total operating expenses for the first quarter of 2026 were \$24.1 million compared to \$25.6 million in the first quarter of 2025. Adjusted operating expenses were \$21.4 million compared to \$22.9 million in the prior year quarter. Year-over-year, we funded R&D at a slightly higher level to support Proteus development while maintaining discipline in total overall adjusted operating expenses. Dividend and interest income was \$1.9 million in the first quarter of 2026 compared to \$2.5 million in the prior year quarter. The year-over-year decrease reflects lower interest rates and changes in invested balances. As of March 31st, 2026, we had 190.4 million in cash, cash equivalents, and investment in marketable securities. As we presented on our last call, our outlook for 2026 includes total revenue of approximately 1 million, adjusted operating expenses of 98 million or less, and total cash usage of 93 million or less. 2026 is a deliberate transition year as we prepare for the anticipated launch of Proteus, and we are making intentional choices that prioritize long-term platform adoption over near-term revenue maximization. This includes embedding upgrade paths in certain Platinum Pro unit sales in 2026, which has a near-term revenue impact, as well as expected timing shifts as customers plan for Proteus availability. With our development progress, Proteus Roadshow events, and continued education of channel partners worldwide, we're seeing strong interest in Proteus, which is influencing customer purchasing timelines. Our operating expense guidance and cash utilization remain on track and reflect the activities required to complete development and support a successful commercial launch of Proteus. Our expected cash usage also includes modest inventory build and commercial readiness efforts ahead of the launch. With over \$190 million in cash and investments of March 31st, We continue to believe we have cash to support operations into the second quarter of 2028, approximately a year and a half after our estimated Proteus launch date. After the Proteus launch, we expect meaningful operating expense leverage over time as launch-related development spend rolls off. Because we are utilizing key external partners for certain development-related activities we anticipate the ability to ratchet down R&D spend post-launch. This gives us flexibility to reduce total operating expenses and extend our cash runway while retaining the option to selectively redeploy resources into high-return commercialization initiatives as we scale. Finally, management and the board remain aligned with shareholders. Inside ownership remains meaningful, and recent Form 4 activity by management continues to reflect routine tax-related mechanics associated with equity compensation with no management team members selling shares outside of plan-mandated sales to cover required tax withholdings. In addition, it is important to note that two of our board members collectively purchased over 600,000 shares during the quarter in the open market. With that, we're happy to take your question.

OPERATOR Operator

Thank you. At this time, we will conduct the question and answer session. As a reminder, to ask a question, you will need to press star 1-1 on your telephone and wait for your name to be announced. To withdraw your question, please press star 1-1 again. Please stand by while we compile the roster. Our first question comes from Scott Henry with AGP. Scott, go ahead with your question.

JEFF KYES Chief Financial Officer

Thank you, and good afternoon. The first kind of bigger picture question, as customers are starting to use the Proteus and they're seeing the more amino acids in the larger or the longer read length, can you Talk a little bit about

that, what that means to the customer experience. I know you mentioned more information, but is it also better information, faster information, kind of new applications? I'm just trying to get an idea a little bit more about the customer experience with Proteus versus Platinum.

JEFF HAWKINS President and Chief Executive Officer

Thanks, Scott, for that question. So maybe we'll break it down into three different application buckets. So one bucket could be I have a sample and I want to identify the proteins that are present in that sample. Another bucket would be the post-translational modifications. And a third sort of application area would be, let's say, variants. I'm engineering a protein and I want to see if there are variants of the target protein I'm trying to make. If you think about getting more amino acids getting longer read lengths, and so sort of getting more content per protein. If you're in that protein identification sort of area, it means you're going to be able to deal with a more complex mixture of proteins. You'll have more unique content, unique information with which to determine the variety of proteins that are there. Even more importantly, when you look at post-translational modifications or looking for variants in proteins, That's where more amino acid coverage, longer read length gives you the ability to detect more of those events. Those events may be spread out along the length of a peptide. They're not always at the beginning of a peptide. So these things give you a much higher level of fidelity and capability when you start thinking about those applications like post-translational modifications or variants. So that's maybe a way to think about what are these fundamental sequencing capabilities mean to a customer in terms of the applications they're doing.

JEFF KYES Chief Financial Officer

Okay, great. Thank you for that, Collar. And, you know, somewhere related, and this relies a little bit on your perception and perhaps some of the earlier questions, customer feedback you've gotten, but how could you anticipate customers' volume when one switches from a platinum to the Proteus because you have all these added benefits? Could it double volume? Could it 4X volume? I mean, I realize this is a bit of guesswork, but I just want to get your thoughts on that.

JEFF HAWKINS President and Chief Executive Officer

Yeah, I mean, I think it's the right question, Scott, and I think it's a little hard to predict right now, because I think if we maybe take the question up, you know, to the 10,000 foot level, within the platinum customers, you know, Proteus clearly is going to bring a broader set of applications, which we would expect would open up the utilization of our technology in a lot more sort of research studies. So we would expect within that platinum-based that the proteus should see more volume than platinum sees. Exactly how much that is, you know, is that a factor of two? Is that a bigger number than that? I think that's the part until we get machines in the field and running is a little hard to predict. The other aspect is, you know, all those labs and customers and some of the market segments that we just haven't been able to access with Platinum at all. And we think the capabilities, especially focusing in on post-translational modifications, focusing in on those protein variants, that's going to open up a whole bunch of new customer stuff where today we don't even have a Platinum in there. We're getting no volume. That'll be sort of a new address for us and the ability to go sort of farm that you know, across a lot of different researchers in one institute and really drive volume into our machine.

JEFF KYES Chief Financial Officer

Okay, great. Thank you for that feedback. Final question. Between now and launch, you have about six months. Are there any dating factors technologically, or is it mostly production and building of inventory between now and then?

JEFF HAWKINS President and Chief Executive Officer

Scott, so the way I think about it is you have sort of the invention or the big technological breakthrough phase. That's happened. That's behind us. We've achieved that. We know the technology works. We know we're getting the performance from the fundamental components of our technology, whether that's the consumable, the instrument, or the sequencing reagents. So really what we view the next six months as is a mix of the manufacturing industry you know, sort of transfer and bring up that you mentioned, but also, you know, just what I would call sort of very standard hardware or instrument engineering and systems integration. So, you know, driving up the reliability, the success rate, making sure you really get to the target specifications you want, not just in terms of amino acid coverage, but, you know, the precision you're getting, the reliability you're getting, the mean time between failure. So I put all of those things in the what would classically be considered pretty standard systems engineering or systems integration work. So it's technical in nature, but not something where we'd expect a need to have some sort of innovation breakthrough. We think the innovation phase of the program and the invention phase is behind us, and it's really now more an operational and execution-related development effort.

JEFF KYES Chief Financial Officer

Great. Thank you for taking the questions. Thanks, Scott.

OPERATOR Operator

Our next question comes from the line of Michael King with Rodman and Renshaw. Michael, go ahead with your question.

JEFF KYES Chief Financial Officer

Hi. Good afternoon, guys. Thanks for taking the question. Actually, a couple of quick ones. This is because I'm really dumb. I'm trying to understand how you got lower. You say you have operating expenses in the quarter were \$24.1 million versus \$25.6 million the same period last year, but you accelerated. You say you funded research and development at a higher run rate year on year. So how does that math, math? Hey, Michael, this is Jeff Kyes. So just overall from an R&D standpoint, it can be a little lumpy from quarter to quarter just as we deploy with third-party partners to help on certain aspects of related activities. So that's where I was saying. This year compared to last year, we were spending at a slightly higher level, but we were spending in SG&A at a slightly lower level just based on other activities that we've pulled back and streamlined as part of our overall OpEx optimization and streamlined process to ensure that we have good runway going forward. So R&D can be a little lumpy from quarter to quarter, but overall we expect to spend within those guidelines that I mentioned earlier. I see. Okay. Thanks for clarifying that. Sorry to ask such a dumb question. The next question is, are you ramping, I know you use third-party manufacturer, but are you ramping their production in advance of shipments, or will that not happen until later in the year, or does that just happen as a function of incoming orders? Maybe you can talk a little bit about that.

JEFF HAWKINS President and Chief Executive Officer

Yeah, Michael, right now the focus is really ramping the delivery of instruments that we're using for R&D purposes. So that's really the main focus today is just building out that base of instruments. That said, some of the build that's happening will ultimately support the early access customers in the summer as we work through the continued development. In terms of building inventory for the launch, you know, that's something we'll, you know, start to look at as we move through the year and sort of really pacing that for what we see as sort of the funnel and any sort of pre-orders that may come in at the back end of the year. So really think right now around it's more of an internal scale-up to just be able to continue to expand the development activities and be able to support those early access sites in the summer. Think of inventory built for sales sort of being something later in the year.

JEFF KYES Chief Financial Officer

Okay, thanks for clarifying that. And then just, I'm curious about the roadshow activity. I'm just wondering, you know, if you can say, you know, maybe you guys can print up t-shirts or something for this, but, you know, how many cities, how many sites, you know, do you guys expect to hit? And I'm just wondering also if you think about bringing your existing customers or potential customers into your headquarters to train them up so that once the installation is completed, they can immediately, you know, start doing their sequencing at scale instead of, you know, having to climb the learning curve, if that makes sense.

JEFF HAWKINS President and Chief Executive Officer

Sure. Let's break the question into two parts. So in terms of the roadshows, we put out a press release a couple weeks ago talking about the first few cities that we were targeting with with those events. We're continuing to scale that up. We are committed to continuing to provide a press release around the cities. Right now, we've been most heavily focused in the U.S. market, but I can tell you that we've begun locking in the dates for some of the road shows and events in Europe. So sort of keep your eyes out for press releases in this area. We'll continue to update you on the total sort of on the new cities each quarter as we move through. We're seeing this as a very valuable tool, Michael, in terms of not just reaching people, but the amount of time you get. I think if you go, if you're a sales professional and you are trying to educate somebody on a new product or technology and you just go as a sales call, you typically get allotted a fairly short period of time, maybe 30 minutes. A really generous customer maybe gives you an hour of time So it could take several sales calls to build the level of information awareness that we get when we do these roadshows where people come and spend about two hours on average at these events. So we like the format. We're liking the engagement. We're getting positive feedback. So, again, we'll announce and help you understand the number of cities and the locations, you know, over the coming months.

JEFF KYES Chief Financial Officer

Yeah, I apologize. I think we were – We were out that day that you made the announcement. So you've got Seattle, Houston, and D.C. So I guess what do you do? Do you draw your clients from the surrounding environments and have them come in for their training or for the demonstration?

JEFF HAWKINS President and Chief Executive Officer

Yeah, so the roadshow is more about educational. It's not really hands-on with the technology. To get to that part of your question, Michael, I think what we're really focused on is, as we get our internal fleet of instruments sort of up to the number we'd like to have to have some additional capacity to apply to customer work, what we would look to do is have customers initially sending samples to us so we're generating data and they get that data in their hands and are starting to work through that sort of evaluation process and ultimately the budgeting process. So to your point, when we get to launch, we have some number of customers who have already done the pre-work and what they'll be doing more is working through their sort of budgeting process to get the capital to purchase the machine on the back end. Once it's in their lab, you know, we're very comfortable with how to train a customer to do this. We've done it, you know, to date on the Platinum instrument and Proteus having all of the sequencing component automated should be easier to train a customer than it even is today. So we're We're not worried about that back-end training component. We think that sample evaluation access early to get data in their hands is sort of the key thing, and that's the next sort of major milestone we're looking to accomplish here over the sort of, you know, coming quarter. Okay, amazing.

JEFF KYES Chief Financial Officer

And then just one final quick question. What does the early active site selection process look like, and how many sites do you expect to have active by the end of the summer? Can you give us a range or point estimate?

JEFF HAWKINS President and Chief Executive Officer

Yeah, so I would say the process looks like we're going to want to have early access sites that span market segments. So clearly we're going to want some number of academic institutes because those folks will be the type of customer who not only will do the early access but are also going to publish. That said, we're also evaluating the potential to have one or more of the early access sites be in a commercial environment, whether that be biopharma, antibody production, some area like that, where we really want the data and the experience in that market segment. But we know that when you get into a commercial setting, oftentimes those customers aren't able to publish. So we're thinking about those factors, demonstrating the capabilities, multiple segments, also thinking about geographies. We haven't set out an exact number. I think the way we're thinking about it, Michael, is you know, we wouldn't, we're going to want to have, you know, a reasonable number of these. You know, I don't think you're going to see us do 10 of them, but, you know, at least a handful sort of is probably in the neighborhood of what we'd be looking to, you know, implement over the course of the summer and even into the fall, and again, spanning geographies and markets.

JEFF KYES Chief Financial Officer

Super. All right, guys, thanks so much for taking the questions. Thank you, Michael.

OPERATOR Operator

Our next question comes from Charles Wallace with HC Wainwright. Charles, go ahead with your question.

JEFF KYES Chief Financial Officer

Hi, this is Charles. I'm for RK. Thanks for taking my question. So the first question I have, so you called out that any Platinum Pro unit sold in 2026 is going to have an embedded credit towards Proteus. So I guess my first question is, have you sold any Platinum Pro units, and do you have some of these credits kind of stacked up at this point?

JEFF HAWKINS President and Chief Executive Officer

So I'll start with it, and, you know, if I don't get everything out, I'm sure Jeff will jump in here with anything I missed. So not every Platinum Pro has to have that credit. So it's a credit that is available to customers if they want to have that ability. You know, sometimes when you have a new machine coming, people say, well, I want to buy it, but I'm not really sure, you know, what's going to happen when the new machine comes out. How long will you support it? Those types of things. So they want to have a credit. So it is available to customers if they request it. That said, sometimes machines you're selling now were ones that were budgeted for many months ago up to a year ago. So those processes and those quotes, you know, would have gone out without this credit. So, you know, that might not show up in some of the machines that get sold throughout the year if they were budgeted for in the past. You know, at this point, we're not really breaking out which of the capital sales have had the credit or not. You know, I think as we go through the year and see other metrics of sort of the funnel building, you know, perhaps we'll be in a position to provide a little more color. On that, because, again, a credit is really a protection for the customer. They still have that option to buy the Proteus or not. So I think, you know, at this point, we're not breaking it out. We don't want to sort of overstate the demand for the future machine just based on if somebody asked for a credit or not.

JEFF KYES Chief Financial Officer

Okay. Yeah, that makes sense. And then I guess my next question, so for the early access program, you mentioned maybe, you know, a handful of units. And then I guess you also said you're building a fleet of internal units. So I guess the first part of that question is how large of an internal fleet are you targeting? And then also, how long does it take typically for an instrument to be built and be fully functional?

JEFF HAWKINS President and Chief Executive Officer

Yeah, so I think in terms of internal fleet, I don't know that we have an exact number that we would give out. I think you can think about the internal fleet as needing to support our engineering team, right, so people working on instruments, integration, software. We have reagent development, so the people putting the sequencing reagents into consumables and getting those optimized and ready to go, so they have to have access to machines. And then, of course, as we're bringing up manufacturing, we have to have some number of machines in our quality control testing environment to develop the QC test. We'll run the specifications that we'll hold ourselves to when we when we're sort of finalizing a kit and ultimately deciding what can be shipped to a customer. So we have multiple groups who need access to that. In general, our strategy is we continue to build those and we try to maximize their utilization. If we see that those are all maxed out, we keep building. You know, we don't ever want to be throttled in terms of our ability to push as much testing volume and development volume through those internal machines. In terms of timelines for builds, I think it would be a little early to try to put a specific timeline on what's the lead time to build an instrument. I can tell you that there are a small number, as is the case in most instruments, of long lead parts. Everybody, we're not different than anybody in this regard in that we procure those in advance and hold those parts. So the assembly process itself is really more about applying the labor and optimizing those processes. I can tell you that we're not having issues with when we build a machine, you know, does the machine show up at a quantum SI facility and function properly? So we're not having those types of challenges that sometimes exist in early hardware development programs. But in terms of, you know, are we operating the line with perfect efficiency and perfect throughput, I think it's safe to say we're not yet, but we're very comfortable that we know how to do that and we can optimize that you know, well in advance of any commercial grant. And again, since it's very labor oriented, we have external partners. And one of the reasons we use those partners when we're doing instrument sort of manufacturing, they have the capacity, they have the people, they can flex that up or down as our forecast requires. So again, as long as we maintain that long lead sort of parts in inventory, the ability to flex up or down It's a pretty efficient thing to do when you have external partners who have that kind of capacity.

JEFF KYES Chief Financial Officer

Great, yeah, makes sense, and thank you for all the color.

OPERATOR Operator

Yep. Our next question comes from Kyle Nixon with CanCore Genuity. Kyle, go ahead with your question.

CHARLOTTE MAURER Analyst, CanCore Genuity

Hi, this is Charlotte Maurer on for Kyle. Thank you so much for taking our questions. To start, do you think you could elaborate a little bit more on the recent successful sequencing run on the Proteus and how the performance really compared to your expectations? Also, what were some of the most notable improvements, and were there any specific challenges that you guys came across that kind of need to be addressed before moving forward? Thanks.

JEFF HAWKINS President and Chief Executive Officer

Thanks, Robert. So I'll maybe work on that question backwards to forward. So the last part of your question was, did we experience any challenges testing those samples? And the answer to that question is no. We were able to run those samples successfully. We ran them actually both on platinum and on proteus so we could get a, you know, at the same time comparison. In this particular sort of situation, these are a series of proteins that the customer has previously worked with and tested in their own lab using a platinum instrument. So, really what they were focused on for their applications, they're trying to both identify these proteins, but they're also doing some really novel work around developing tools for essentially de novo detection of amino acids. So, they're really focused on the coverage and they're really focused on the read length. getting data from Proteus. One is just the amount of output you get, the

number of reads you get is obviously going to be much, much higher with the Proteus just simply based on the number of features on that chip compared to the Platinum. The coverage, as I mentioned in the prepared remarks, not only are we detecting 17 amino acids now, our detection frequency of the other ones is considerably higher. And then when you think about read length, What the customers saw in these particular samples is that the read length on Proteus was about double, so about twice as long as what they're used to seeing on Platinum. So, again, if we go back to one of my earlier answers to Scott, why would a customer care about more amino acids being detected or longer read lengths? Well, in this case, they're working on samples where they want to identify these proteins and potentially variants or modifications of them so they're really thinking about these algorithms they're developing that they want to do de novo detection with. So more content, longer reads, more complete sort of information is going to really help them with their exploratory algorithm work in addition to just the basic performance that they see in terms of identifying those and sort of subtyping those different proteins that they're looking at.

CHARLOTTE MAURER Analyst, CanCore Genuity

Nice. Awesome. Thanks for all that additional color. I also had some questions about the roadshow as well. It sounds like there's been some strong early interest, but I was wondering if you could maybe dive a little bit deeper into any relevant feedback or interest that you've received from the customers at this point about the Proteus and maybe some key highlights or takeaways and maybe anything on the feedback on the pricing specifically and what you've heard so far.

JEFF HAWKINS President and Chief Executive Officer

Yeah, so I think the early feedback, most of that early interest as we anticipated and have been talking about it, you know, customers are really excited to have the ability to analyze PTMs. It's an area of translational research, you know, basic biology research, mechanisms of action that, you know, outside of phosphorylation, it's a pretty difficult field to tackle, even if you have access to some of the, you know, the highest end MAPS tech machines. So TMs are obviously a big draw in those environments. I think it's been interesting to see, I mentioned there's sort of two different formats, one where we're working more with an existing user and focus a little bit more on depth of institutional knowledge versus, you know, a brand new city. One thing we're seeing in, the first format where we go to where there's an existing platinum and really try to open up the education is not just the core lab, but all the other researchers, whether they're translational, whether they're basic biology. The number of people who have an interest, have a study in mind, have a potential way to utilize the technology, that's been a really positive learning for us as we think about how do you drive that institutional sort of momentum towards funding? How do you get the core lab to say, it's not just the things you're thinking about doing, but some of your customers, right? These other researchers in your institute have a desire to get access to the tech. This type of momentum can be really helpful when you're working through who's gonna get the funding and where does the funding proposal sit at an institution amongst all the other capital equipment they're looking at. So I think that's a good example of the value of doing these. To your point on pricing, You know, we've announced that price. We haven't heard any pushback on that price. I wouldn't expect to hear any at this point for sort of two reasons, Charlotte. One is, remember, if you're thinking about the application state for translational modification, those folks who are trying to work on that are often using very high-end mass spec equipment. That equipment can cost upwards of a million dollars or more. So, us sitting at \$425,000 is really attractive will be a price compared to sort of what they might be spending on one of the high-end mass spec machines. The other piece is that's just, I think, a state of where we're at is we haven't given people enough information today that someone's got to really make that decision on the price. I think the good news is no one's hearing it and running away. So it tells us we're not too high. We didn't set it so high that people are sort of very skeptical of the price. But I think we won't get down to probably some of the really nuanced feedback until, you know, we continue to, you know, put out more data or they are

able to start getting sample evaluations in hand. But as I said thus far, no one's been concerned. People have thought it's very reasonable for its capabilities, and I think we'll just keep driving home that message around the capabilities at 425,000 versus having to go all the way up over a million for a mass spec that can do the same thing.

CHARLOTTE MAURER Analyst, CanCore Genuity

Great. Thank you. Yeah, that makes a lot of sense. And then maybe if I can ask one last question, looking ahead to expectations for 2027 and some of your capital deployment, you mentioned utilizing key external partners for certain development-related activities. Where in the process do you expect to use these partners the most? And then how should we think about this reduction in capital deployment relative to your 2026 level of kind of given this full year of spending on commercialization efforts for Proteus?

JEFF HAWKINS President and Chief Executive Officer

Sure, sure. Let me start, and then I'll pass it to Jeff for a little additional color. So the first thing I would say is we're using these partners today across some of our sort of consumable development efforts, our optics system that's inside of the Proteus, and then the instrument development. So we have partners who are working with us across those various R&D efforts. Some of those partners will flip into our manufacturing partners next year. So they'll be with us, but it'll be more in terms of building inventory and supporting that. Maybe, Jeff, you can sort of give a little feel for, you know, sort of how we think about the burndown after we launch.

JEFF KYES Chief Financial Officer

Yeah, regarding total off-ex as we move forward, as we go into 2027, you know, We'll need some of these partners to help stabilize the program shortly after launch, which is typical from a new development project. But after that, since we are using a significant amount of external partners, we're going to be able to ratchet down that R&D spend specifically. And those were my comments earlier where I said we would be able to either bank that savings or redeploy it. But we're going to look for opportunities here. between R&D and other activities to ratchet down our OpEx, and we'll gauge that relative to how the Proteus uptake goes in 2027, and we'll be able to manage it going forward. So it's definitely on our radar and something we'll be working on, and the R&D spin for external partners is the first obvious step, and then there will be other items that we can look at going forward.

JEFF HAWKINS President and Chief Executive Officer

And then, Charlotte, I'll just add one point. You know, consistent with what we did this year, You know, as we look at our guidance in 27, you know, we'll be able to be more quantitative when we get there in terms of how we think about our adjusted objects or our cash use. So know that we'll continue to provide that guidance. It's just a little early to be providing it right now. But, I mean, I think you can gather from Jeff and I's feedback sort of how we're thinking about, you know, rotating those dollars off in R&D, some deployment perhaps into other initiatives and banking, you know, the majority of that savings.

OPERATOR Operator

Awesome.

CHARLOTTE MAURER Analyst, CanCore Genuity

Well, thank you so much for all the time.

JEFF KYES Chief Financial Officer

Thank you.

OPERATOR Operator

This concludes the question and answer session. I would now like to turn it back to Jeff Hawkins for closing remarks.

JEFF HAWKINS President and Chief Executive Officer

Thank you for attending our call today. We look forward to providing additional business updates on our next earnings call.

OPERATOR Operator

Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.